

high quality and production cost is 25-30 per cent less."

Like other global consumer companies, automakers too are chasing the irrepressible 450-million middle class that's buying a million new cars every year. With automobile sales stagnating in North America and Western Europe, a small but promising market sure makes sense. The boom, however, is not just in cars. At 7.6 million, India is the second largest producer of motorcycles and fifth largest commercial vehicle manufacturer at 0.4 million. While nowhere near China's market, which sells 4.1 million cars every year, demand is finally picking. If last year's dozen new launches took car sales to record levels, automobile biggies have lined up 75 new models this year. Says Sylvain Bilaine, managing director of Renault India: "At 1.3 million India is a small market, but it's booming. Despite

impressive growth rates, India's share of the world automobile market is 2.37 per cent of the total global auto sales of 66.46 million."

A bustling domestic market combined with competitive component suppliers and a remarkable engineering talent pool has made global automakers queue up to bring their products to India at the earliest. The Automotive Mission Plan 2006-2016 has set an ambitious turnover target of \$145 billion (Rs 5,80,000 crore) for the industry from a modest \$38 billion (Rs 1,52,000 crore), which includes the auto component turnover at \$10 billion (Rs 40,000 crore). In 2006, auto exports stood at \$4.08 billion (Rs 16,320 crore) of which \$1.8 billion (Rs 7,200 crore) were auto component exports. Given that Indian auto exports have been growing at a steady clip of 30 per cent CAGR over the last five years, India may

be on a growth trajectory but unless infrastructure bottlenecks are sorted out, ambitions may not take wings. Yezdi Nagporewalla, national industry director, industrial markets, in KPMG's India practice, believes that just when confidence is running high, questions need to be asked. According to him: "India may be full of potential, but it faces more than its fair share of challenges too. From the remotest road-building site to the highest levels of government where policy is hammered out, there is work to be done."

The Indian market may be attractive, but it's not for the weak-hearted. With less than 100 models in the entire market, India offers the scope that potential car makers look for before driving into a market. Sure, it is not a market which can afford deep-pocket development costs but it has the eco system that can deliver both the skills

**A booming economy** and young demographics will propel the car market, which currently sees sales of 1.3 million passenger units per year, to 4 million by 2016

**The turnover** of the automobile industry is projected to touch \$145 billion by 2016 from the current \$38 billion. The industry will create 25 million new jobs both directly and indirectly.



AP PHOTO



**FIRM FOOTING:** (from L to R) Fiat chairman Luca Montezemolo, Ratan Tata, Fiat Powertrain CEO Alfredo Altavilla, Tata Motors MD Ravi Kant

## FIAT AND TATA MOTORS

### Proposed investment **\$1 BILLION**

The JV will manufacture cars, engines and transmissions for the domestic and the export market, giving both companies massive economies of scale

**ION**  
through which Volvo will bring in all of its  
and component divisions into this company.